Nepal E-Commerce BI Report 2025

Period View: Monthly

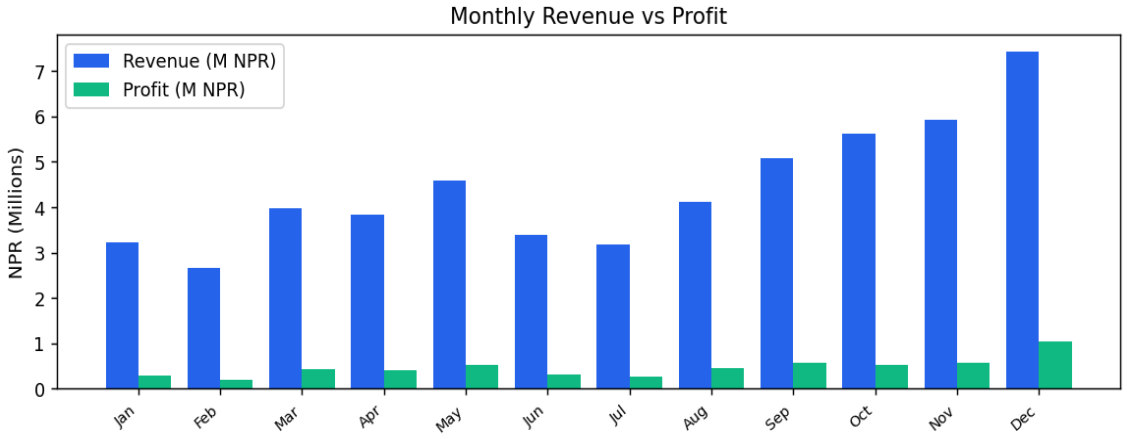
Gross Revenue	Net Profit	Net Margin	Cash Coverage	Inventory Turn	Margin Safety
NPR 54.58M	**NPR 5.57M**	**10.51%**	**1.79x**	**1.71x**	**92.1%**

1. Profitability

Gross Revenue	**NPR 54,584,951**
Net Revenue	**NPR 53,019,062**
Gross Profit	**NPR 9,939,702 (18.75%)**
Net Profit	**NPR 5,573,644 (10.51%)**
Total Operating Expense	**NPR 4,366,058**

■ The business generated NPR 54.58M in gross revenue with a gross profit margin of 18.75%, below the 40 % e-commerce benchmark - review supplier costs and pricing. After accounting for NPR 4.37M in operating expenses, net profit stands at NPR 5.57M (10.51%), which is moderate. Focus on OpEx optimisation - particularly marketing and logistics - to push net margin above 20%.

2. Revenue & Profit Growth



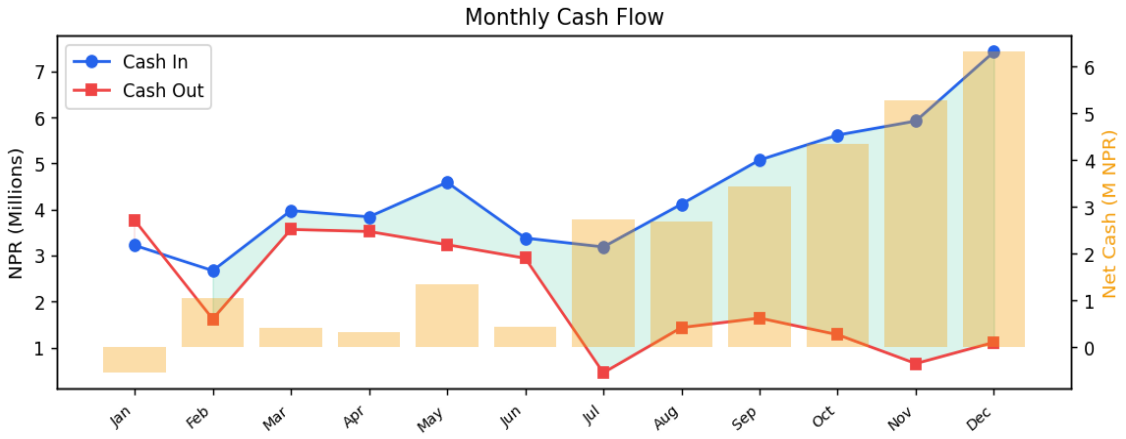
Period	Revenue (NPR)	Profit (NPR)	Growth %
Jan	3,221,421	278,538	None%
Feb	2,670,766	185,902	-17.09%
Mar	3,975,849	432,056	48.87%
Apr	3,839,692	404,511	-3.42%
May	4,590,620	526,032	19.56%
Jun	3,379,744	313,976	-26.38%
Jul	3,185,912	264,859	-5.74%

Period	Revenue (NPR)	Profit (NPR)	Growth %
Aug	4,116,262	446,413	29.2%
Sep	5,075,625	582,653	23.31%
Oct	5,616,914	520,541	10.66%
Nov	5,921,854	567,021	5.43%
Dec	7,424,403	1,051,141	25.37%

■ Revenue shows a upward trend over the period with an average monthly growth rate of 9.98%. Momentum is building — capitalise with inventory pre-positioning and marketing spend.

3. Cash Flow Analysis

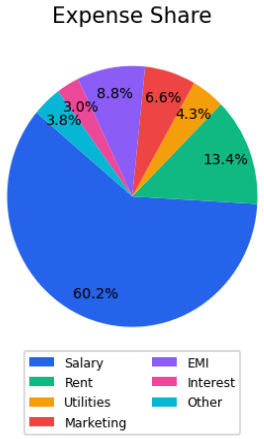
Total Cash Inflow	**NPR 53,019,062**
Total Cash Outflow	**NPR 29,591,202**
Net Cash Movement	**NPR 23,427,860**

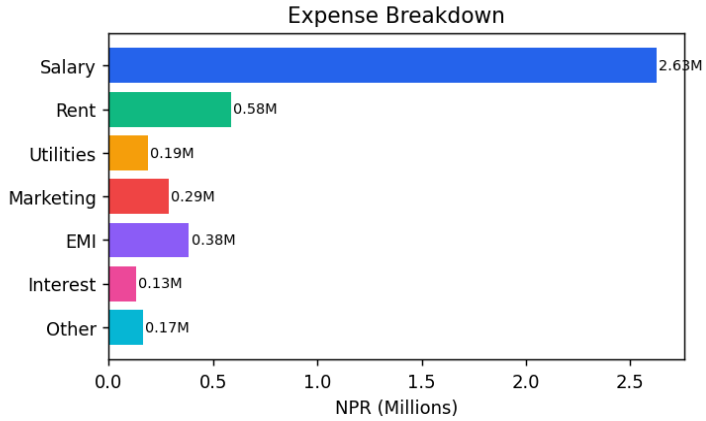


Period	Cash In (NPR)	Cash Out (NPR)	Net (NPR)
Jan	3,221,421	3,765,564	-544,143
Feb	2,670,766	1,621,580	1,049,186
Mar	3,975,849	3,566,924	408,925
Apr	3,839,692	3,521,670	318,022
May	4,590,620	3,235,496	1,355,124
Jun	3,379,744	2,941,015	438,729
Jul	3,185,912	451,925	2,733,987
Aug	4,116,262	1,435,045	2,681,217
Sep	5,075,625	1,640,435	3,435,190
Oct	5,616,914	1,279,605	4,337,309
Nov	5,921,854	653,075	5,268,779
Dec	7,424,403	1,112,810	6,311,593

■ Total cash inflows of NPR 53.02M against outflows of NPR 29.59M yields a cash coverage ratio of 1.79x - classified as 'healthy'. Net cash movement for the period is NPR 23.43M. The cash buffer provides runway for inventory pre-buying and expansion.

4. Expense Breakdown

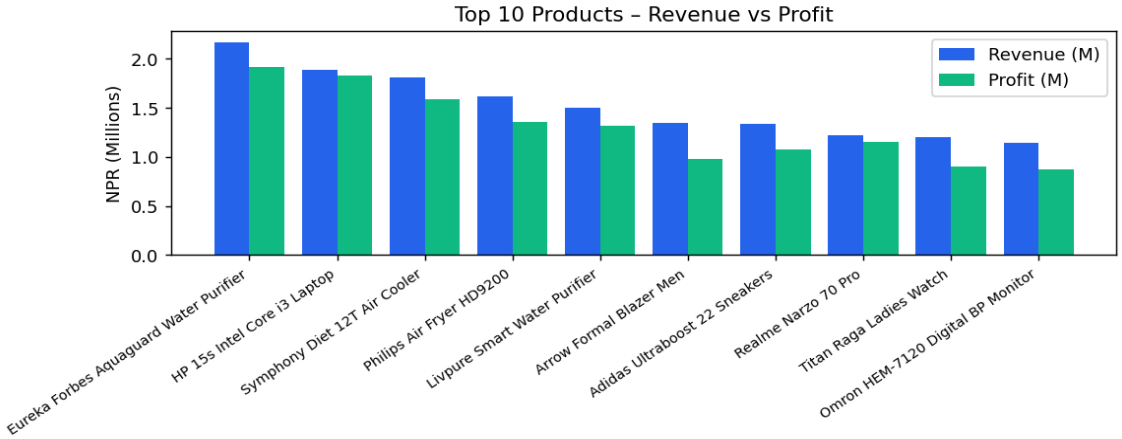




Salary	**NPR 2,627,757**
Rent	**NPR 585,000**
Utilities	**NPR 187,588**
Marketing	**NPR 287,607**
EMI	**NPR 384,000**
Interest	**NPR 128,902**
Other	**NPR 165,204**

■ 'Salary' is the largest cost centre at 60.2% of total operating expenses. A diversified expense base reduces concentration risk; however, categories growing faster than revenue should be reviewed quarterly. Consider automating repetitive logistics tasks and renegotiating platform fees to drive structural cost reduction.

5. Top 10 Products by Revenue



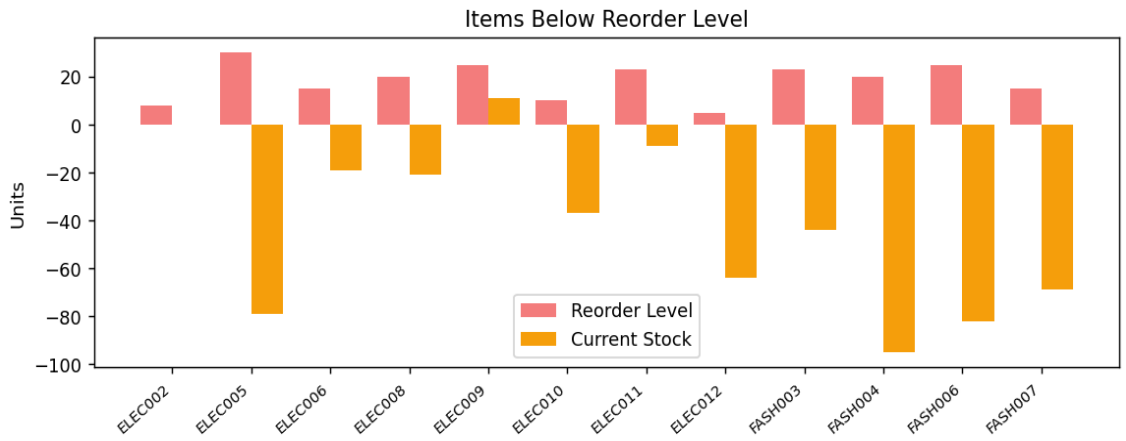
Product	Revenue (NPR)	Units Sold	Profit (NPR)
Eureka Forbes Aquaguard Water Purifier	2,172,358	119	1,916,930
HP 15s Intel Core i3 Laptop	1,890,790	27	1,832,836
Symphony Diet 12T Air Cooler	1,812,044	103	1,590,959
Philips Air Fryer HD9200	1,619,585	124	1,353,425

Product	Revenue (NPR)	Units Sold	Profit (NPR)
Livpure Smart Water Purifier	1,504,068	88	1,315,180
Arrow Formal Blazer Men	1,348,335	173	976,998
Adidas Ultraboost 22 Sneakers	1,339,409	123	1,075,395
Realme Narzo 70 Pro	1,218,719	30	1,154,325
Titan Raga Ladies Watch	1,198,095	139	899,738
Omron HEM-7120 Digital BP Monitor	1,143,077	127	870,477

■ The top performer, 'Eureka Forbes Aquaguard Water Purifier', generates NPR 2.17M in revenue - 1.03M more than the 10th-ranked product. High revenue concentration in a few SKUs signals an opportunity to cross-sell mid-tier products and reduce dependency risk. Products with high unit counts but lower revenue should be evaluated for margin improvement.

6. Inventory Health

Inventory Turnover	**1.71x**
Days Inventory Outstanding	**213.7 days**
Items Below Reorder Level	**94**

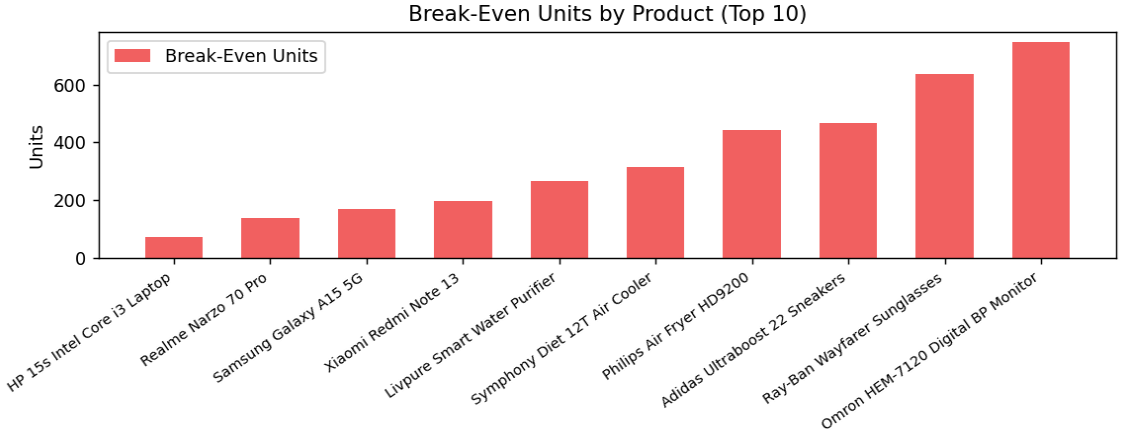


Item ID	Product	Closing Stock	Reorder Level
ELEC002	Realme Narzo 70 Pro	0	8
ELEC005	boAt Rockerz 255 Earphones	-79	30
ELEC006	Portronics Harmonics Z7 Speaker	-19	15
ELEC008	Anker USB-C Fast Charger 65W	-21	20
ELEC009	Logitech M185 Wireless Mouse	11	25
ELEC010	TP-Link TL-WR841N WiFi Router	-37	10
ELEC011	HP 15s Intel Core i3 Laptop	-9	23
ELEC012	Canon PIXMA MG2577s Printer	-64	5
FASH003	H&M Basic Oversized T-Shirt	-44	23
FASH004	Puma Classic Hoodie	-95	20
FASH006	Park Avenue Chino Pants	-82	25
FASH007	Woodland Casual Leather Shoes	-69	15

■ Inventory turns 1.71x per year (213.7 days outstanding), which is below the e-commerce benchmark of 6x. 94 SKUs are currently below their reorder level - urgent restocking required to prevent stockouts. Consider adopting a demand-driven reorder system to reduce both stockouts and overstock.

7. Break-Even Analysis

Overall Break-Even Units	**1,586**
Actual Units Sold	**20,070**
Margin of Safety	**92.1%**

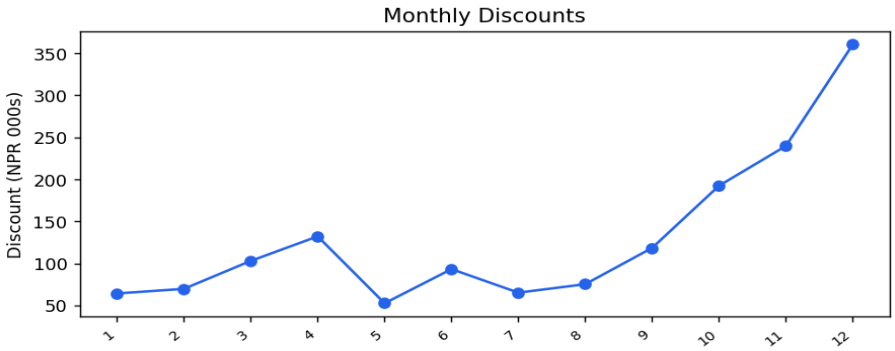


Product	B/E Units	Contrib / Unit (NPR)
HP 15s Intel Core i3 Laptop	71	60,852.54
Realme Narzo 70 Pro	137	31,852.54
Samsung Galaxy A15 5G	168	25,852.54
Xiaomi Redmi Note 13	195	22,352.54
Livpure Smart Water Purifier	267	16,352.54
Symphony Diet 12T Air Cooler	315	13,852.54
Philips Air Fryer HD9200	443	9,852.54
Adidas Ultraboost 22 Sneakers	466	9,352.54
Ray-Ban Wayfarer Sunglasses	637	6,852.54
Omron HEM-7120 Digital BP Monitor	746	5,852.54
LEGO Classic Bricks Creative Box 484pcs	746	5,852.54
Titan Raga Ladies Watch	746	5,852.54
Arrow Formal Blazer Men	899	4,852.54
Fisher-Price Baby Activity Gym	938	4,652.54
Strauss Adjustable Dumbbell 20kg Pair	938	4,652.54

■ The business needs to sell 1,586.0 units to break even; it actually sold 20,070 - a margin of safety of 92.1% (comfortable). Profitability is well-protected from demand shocks. Use the buffer to invest in growth.

8. Discount Analysis

Total Discounts Granted	**NPR 1,565,889**
Effective Discount Rate	**2.87%**



■ NPR 1.57M was granted in discounts (2.87% of gross revenue), which is within acceptable range. Targeted promotional campaigns yield better ROI than blanket discounts. Track redemption rates by category to identify which discounts drive incremental sales.